Kinds of Endorsements

Types of Endorsement	Meaning	Specimen
1. Endorsement in blank or general endorsement	When the endorser puts his mere signature on the back of an instrument without mentioning the name of the person to whom the endorsement is made, it is called Blank Endorsement or General Endorsement. Eg. A cheque is drawn in favour of Pallavan and Pallavan who is entitled to get the amount of the cheque desires to transfer it to Paari. If Pallavan just puts his signature without mentioning the name of Paari to whom he wants to endorse it is called Blank Endorsement.	"Pallavan "
2. Endorsement in full or special endorsement	Where the endorser, in addition to his signature, specifies the person to whom or to whose order the instrument is payable, the endorsement is called endorsement in full. In the above example, if Pallavan writes as follows and puts his signature, it becomes a full endorsement. Any holder can convert a blank endorsement into special endorsement by writing above the signature of the endorser a direction to pay to himself or to some other person. When he makes it payable to some other person and delivers it to that person, he does not endorse it himself and therefore he assumes no liability thereon as an endorser. When a cheque is drawn payable to a bearer, even a subsequent endorsement in full cannot make it payable to order.	Pay to Paari "Pallavan"
3. Conditional or qualified endorsement	Where the endorser of a negotiable instrument makes his liability dependent upon the happening of an event which may or may not happen, it is called conditional endorsement. Similarly where the right of the endorsee to receive the amount is made dependent upon the happening of an event which may or may not happen, then also the endorsement is called conditional or qualified endorsement. Here Paari, the endorsee is entitled to receive payment only on the fulfilment of the specified condition, namely his return from Delhi within three months. Conditional endorsement does not affect negotiability. Such endorsements are not usually made	Pay Paari, if he returns from Delhi within three months. "Pallavan"

12th Commerce Unit 8.indd 195 12/12/2020 2:20:20 PM